LEARNING CENTRE

WHY YOUR CREDIT SCORE MATTERS

A credit score indicates your debt management abilities. It gives lenders an idea about how reliable you are as a borrower

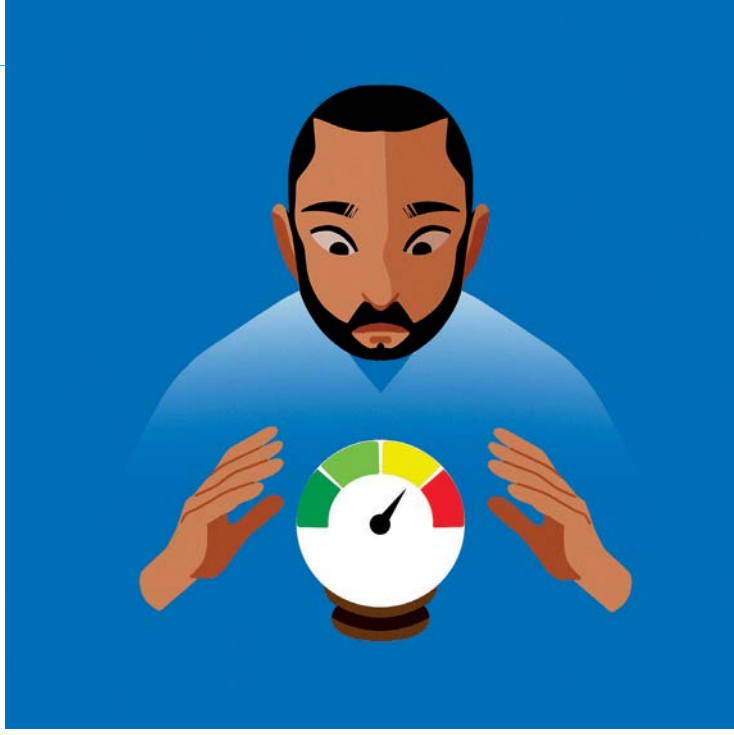


Illustration by SIDDHANT JUMDE

If you are like scores of others who look to borrow money, your credit score becomes a crucial number in your financial life. Simply put, a credit rating represents how creditworthy you are as a potential borrower. The score is calculated after considering a combination of your credit history, including the total debt, the number of credit accounts, credit card bills, credit utilisation information, and repayment history. These days, the number of enquiries you make to check your credit score for borrowing or before applying for a credit card is also taken into account to arrive at your credit score.

The Reserve Bank of India (RBI) has licensed credit information companies such as TransUnion Credit Information Bureau (India) Limited (CIBIL), one of the first credit information companies in India, CRIF Highmark, Experian and Equifax to arrive at a score for banks and other lending institutions to evaluate an individual or a business's loan application based on the score. Depending on the company, the score is in the range of 300 to 900, and your actual score ultimately determines how a lender views you as a prospective borrower.

USING CREDIT SCORES

You could check with your bank or any other financial entity, including several online platforms, to obtain your credit score using your PAN and any other details you may be asked. Often, such credit bureaus may seek additional information and mail you your score. You could claim one free credit score in a year, but for frequent requests, you may be charged depending on the bureau you use. So, if your credit score is not good, you can work on improving it and seek a review before you apply for a loan.

HOW DOES A CREDIT SCORE HELP?

Before you apply for a new credit card, personal loan, home loan or any other form of loan, it is important to know your score. Your score gives you an idea about whether you will qualify for standard loan rates or pay a premium. Your score could also decide whether your loan is even sanctioned or not. Knowing your score long before you actually need to borrow also provides you with the chance to improve it. ■

–Narayan Krishnamurthy

WHAT'S YOUR SCORE?

Score	RATING
300-579	Poor
580-669	Fair
670-739	Good
740-799	Very good
Above 800	Excellent

**Indicative rating*

IMPROVE YOUR SCORE

- Have a healthy mix of secured and unsecured credit
- Pay your credit card bills on time and in full
- Pay off any pending loans before applying for new loans
- Do not apply for multiple loans
- Do not use too much of your credit card limit, and keep your Credit Utilisation Ratio (CUR) within 30 per cent
- If your loan application is rejected, wait before re-applying. Consistent rejections can harm your score
- Unless absolutely necessary, do not cancel your old credit cards, as older cards can assure lenders that you have been paying your bills on time

NEXT MONTH: What is co-pay in health insurance?